

TENTATIVE RULINGS
LAW AND MOTION CALENDAR

Judge Nathan Vu

Department N15

Hearing Date and Time: August 3, 2026 @ 9:00 AM

TENTATIVE RULINGS: The court will endeavor to post tentative rulings on this website by 3:00 p.m. on the day before the hearing. However, ongoing proceedings may prevent posting by that time or the court may have no tentative ruling on a matter.

Once a tentative ruling has been posted, the court may not entertain requests for continuance and may not consider additional papers.

ORAL ARGUMENT: The court will hear oral argument regarding law and motion matters on the hearing date and at the time stated above, unless all parties submit on the tentative ruling. Parties are not required to give notice of intent to appear.

If you wish to submit on the tentative ruling and do not intend to appear at the hearing, please inform opposing counsel and the court clerk by electronic mail n15@occourts.org or by telephone (657) 622-5615. If all parties submit on the tentative ruling or no parties or counsel appear for the hearing, then the tentative ruling shall become the final ruling.

APPEARANCES: Parties and counsel may appear at the law and motion hearing in-person or via Zoom. Persons appearing in-person shall come to Department N15 at the North Justice Center, 1275 N. Berkeley Avenue, Fullerton, CA 92832.

Persons appearing remotely must check-in online through the court's website at <https://www.occourts.org/general-information/covid-19-response/civil-covid-19-response/civil-remote-hearings> and then clicking on the button entitled "Department N15 Judge Nathan Vu".

Anyone having difficulty appearing remotely may contact the court clerk at (657) 622-5615.

All persons appearing remotely must abide by all applicable laws and rules, including Local Rule 375, and must obtain, test the functionality of, and learn how to use the Zoom application and all necessary equipment prior to the remote hearing. More information is available at <https://www.occourts.org/media-relations/civil.html>.

COURT REPORTERS: Court reporters employed by the court are NOT normally provided for law and motion matters in civil courtrooms. If a party desires a record of a law and motion proceeding, it is the party's responsibility to arrange for a privately-retained court reporter, who may appear in-person or remotely. Parties must comply with the Court's policy on the use of privately-retained court reporters, available at https://www.occourts.org/media/pdf/Private_Retained_Court_Reporter_Policy.pdf.

1	Zavadilova vs. Abustan 30-2024-01403536	<u>Motion for Sanctions</u> Plaintiff's Motion for Monetary Sanctions in the Amount of \$5,356.50 Against Defendants as Well as Evidence, Issue and Terminating Sanctions is GRANTED in part and DENIED in part. Defendant Jason Abustan is PROHIBITED from introducing at trial any evidence from documents or witnesses not produced during discovery. Defendant Jason Abustan is ORDERED to pay to Plaintiff Jitka Zavadilova sanctions of reasonable attorney's fees in the amount of \$3,564 (7.2 hours x \$495 per hour) within 30 days of service of the notice of ruling. Defendant Jason Abustan's Request for Judicial Notice in Support of Opposition to Plaintiff's Motion for Sanctions is GRANTED as to Exhibits 1-6. (See Evid. Code, § 452, subd.s (d), (h).) <u>Pending Motion</u> Plaintiff Jitka Zavadilova moves for monetary, evidentiary, issue, and terminating sanctions against Defendant Jason Abustan and Javinson & Company. <u>Standard for Non-Monetary Discovery Sanctions</u> The trial court has expansive authority over discovery issues. (<i>Lopez v. Watchtower Bible & Tract Society of New York, Inc.</i> (2016) 246 Cal.App.4th 566, 596.) This authority includes the power to impose monetary, issue, evidence, terminating, or contempt sanctions against any person engaging in any misuse of the discovery process. (See Code Civ. Proc., § 2023.030, subd.s (a)-(e).) Misuse of the discovery process includes, but is not limited to, using a discovery method in a manner that does not comply with its specified procedures; employing a discovery method in a manner or to an extent that causes unwarranted annoyance, embarrassment, or oppression, or undue burden; failing to submit or to respond to an authorized method of discovery; and disobeying a court order to provide discovery. (See Code Civ. Proc., §§
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		2023.010, 2030.300, subd. (e) [interrogatories], 2031.310, subd. (i) [requests for production of documents], 2033.290, subd. (e) [requests for admissions].) "The court may impose an issue sanction ordering that designated facts shall be taken as established in the action in accordance with the claim of the party adversely affected by the misuse of the discovery process. The court may also impose an issue sanction by an order prohibiting any party engaging in the misuse of the discovery process from supporting or opposing designated claims or defenses." (Code Civ. Proc., § 2023.030, subd. (b); see also <i>NewLife Sciences, LLC v. Weinstock</i> (2011) 197 Cal.App.4th 676, 686-687.) In addition, "[t]he court may impose an evidence sanction by an order prohibiting any party engaging in the misuse of the discovery process from introducing designated matters in evidence." (Code Civ. Proc., § 2023.030, subd. (c); see also <i>Lee v. Lee</i> (2009) 175 Cal.App.4th 1553, 1559.) Terminating sanctions are the most severe form of sanctions and are imposed by: (1) striking out the pleadings, or parts of the pleadings, of any party engaging in the misuse of the discovery process, (2) staying further proceedings by that party until an order for discovery is obeyed, (3) dismissing the action, or any part of the action, or (4) rendering judgment by default against that party. (Code Civ. Proc., § 2023.030, subd. (d).) "The trial court may order a terminating sanction for discovery abuse 'after considering the totality of the circumstances: [the] conduct of the party to determine if the actions were willful; the detriment to the propounding party; and the number of formal and informal attempts to obtain the discovery.'" (<i>Los Defensores, Inc. v. Gomez</i> (2014) 223 Cal.App.4th 377, 390, quoting <i>Lang v. Hochman</i> (2000) 77 Cal.App.4th 1225, 1246.) In order to impose issue, evidence, or terminating sanctions, the party subject to more serious sanctions must have failed to comply with previously issued court orders and the failure must be willful. (See <i>Lee v. Lee</i> (2009) 175 Cal.App.4th 1553, 1559 ["[A]bsent unusual circumstances, such
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		as repeated and egregious discovery abuses, two facts are generally prerequisite to the imposition of a nonmonetary sanction. There must be a failure to comply with a court order and the failure must be willful.”].) However, “[s]ome courts have held that the more serious sanctions may be imposed . . . even where no specific order has been violated, but those cases have involved repeated and willful refusals to permit discovery or produce documents over a lengthy period of time which resulted in evidence becoming unavailable.” (<i>Maldonado v. Superior Court</i> (2002) 94 Cal.App.4th 1390, 1399.) As the Court of Appeal has explained: [T]he courts have long recognized that the terminating sanction is a drastic penalty and should be used sparingly. A trial court must be cautious when imposing a terminating sanction because the sanction eliminates a party’s fundamental right to a trial, thus implicating due process rights. The trial court should select a sanction that is “tailor[ed] . . . to the harm caused by the withheld discovery.” (<i>Lopez v. Watchtower Bible and Tract Society of New York, Inc.</i> (2016) 246 Cal.App.4th 566, 604, citations omitted, quoting <i>Doppes v. Bentley Motors, Inc.</i> (2009) 174 Cal.App.4th 967, 992.) “The discovery statutes thus `evinced an incremental approach to discovery sanctions, starting with <i>monetary</i> sanctions and <i>ending</i> with the ultimate sanction of termination. Although in extreme cases a court has the authority to order a terminating sanction as a first measure, a terminating sanction should generally not be imposed until the court has attempted less severe alternatives and found them to be unsuccessful and/or the record clearly shows lesser sanctions would be ineffective.” (<i>Lopez v. Watchtower Bible and Tract Society of New York, Inc.</i>, <i>supra</i>, 246 Cal.App.4th at pp. 604-605, quoting <i>Doppes v. Bentley Motors, Inc.</i>, <i>supra</i>, 174 Cal.App.4th at p. 992, italics original; see also <i>Los Defensores, Inc. v. Gomez</i>, <i>supra</i>, 223 Cal.App.4th at p. 390 [“[A] decision to order terminating sanctions should not be made lightly.”].)
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		"The purpose of discovery sanctions 'is not to provide a weapon for punishment, forfeiture and the avoidance of a trial on the merits' but to prevent abuse of the discovery process and correct the problem presented." (<i>Parker v. Wolters Kluwer U.S., Inc.</i> (2007) 149 Cal.App.4th 285, 301, citations omitted, quoting <i>Caryl Richards Inc. v. Superior Court</i> (1961) 188 Cal.App.2d 300, 303; see <i>In re Marriage of Chakko</i> (2004) 115 Cal.App.4th 104, 109 ["In exercising its broad discretion to sanction discovery abuses, the trial court may impose any sanction authorized by statute that will enable the party seeking discovery to obtain the objects of the discovery sought."].) Thus, "[a] discovery sanction may not place the party seeking discovery in a better position than it would have been in if the desired discovery had been provided and had been favorable." (<i>Rail Services of America v. State Compensation Ins. Fund</i> (2003) 110 Cal.App.4th 323, 332.) In addition, "[d]iscovery sanctions 'should be appropriate to the dereliction, and should not exceed that which is required to protect the interest of the party entitled to but denied discovery.'" (<i>Doppes v. Bentley Motors, Inc., supra</i>, 174 Cal.App.4th at p. 992, quoting <i>Laguna Autobody v. Farmers Ins. Exchange</i> (1991) 231 Cal.App.3d 481, 487.) For example, terminating sanctions are warranted where a party repeatedly failed to respond to discovery responses for nearly one year, and disregarded two court orders, including one order warning that terminating sanctions would be the next step. (<i>Jerry's Shell v. Equilon Enterprises, LLC</i> (2005) 134 Cal.App.4th 1058, 1069.) The moving party has the burden to show the other party's failure to comply with the discovery statutes or the court's orders. (See <i>Do It Urself Moving & Storage, Inc. v. Brown, Leifer, Slatkin & Berns</i> (1992) 7 Cal.App.4th 27, 37 ["As the moving parties, defendants were only required to demonstrate plaintiffs' willful failure to comply with discovery."], superseded by statute on other grounds, <i>Union Bank v. Superior Court</i> (1995) 31 Cal.App.4th 573, 583.) Thereafter, the burden of proof shifts to the party seeking to avoid sanctions to establish their lack of willfulness. (See <i>Corns v. Miller</i> (1986) 181
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		Cal.App.3d 195, 201 ["In the context of sanctions against a party for willful refusal to furnish discovery, it has been held that the responding party has the burden of proving the lack of willfulness of his failure to perform."].) <u>Standard for Monetary Discovery Sanctions</u> On the other hand, willfulness is not required for the imposition of monetary sanctions. (<i>Ellis v. Toshiba America Information Systems, Inc.</i> (2013) 218 Cal.App.4th 853, 878; <i>Clement v. Alegre</i> (2009) 177 Cal.App.4th 1277, 1286.) A trial court has "every right to impose a monetary sanction to compel obedience to its lawful orders, or to punish disobedience and disrespect of the court's processes." (<i>20th Century Ins. Co. v. Choong</i> (2000) 79 Cal.App.4th 1274, 1278.) <u>Defendant Javinson & Company</u> On June 6, 2026, the court dismissed Defendant Javinson & Company from this action because it did not appear to be a separate entity but rather, a fictitious business name for Defendant Abustan. (See ROA #328; see also Def. Abustan's Opp'n to Pltf.'s Mot. for Monetary Sanctions in the Amount of \$5,356.50 and for Evidence, Issue, and Terminating Sanctions at p. 1:23-25 ["Defendant Jason Abustan, appearing in propria persona solely in his individual capacity and <i>dba Javinson and Company</i>, opposes Plaintiff's motion for monetary, issue, evidence, and terminating sanctions."], italics added.) Therefore, this motion is moot to the extent it seeks relief from Defendant Javinson & Company. <u>Defendant Jason Abustan</u> On October 21, 2025, the court ordered Defendant Abustan "to serve full, complete, and verified responses and responsive documents" to Form Interrogatories – General, Set No. One (1) and Requests for Production, Set One, "without objections and within 30 days of service of the notice of ruling." (ROA #273 at p. 2.) Plaintiff provides evidence that, almost 9 months later, Defendant Abustan "has yet to serve verified responses to Plaintiff's Form Interrogatories – General, Set One or Requests for Production, Set One, as required by the Court's October 21, 2025 Order." (Decl. of Evan M. Rothman in Supp. of
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		Pltf.'s Reply in Supp. of Mot. for Monetary Sanctions in the Amount of \$5,356.50 Against Defendants as Well as Evidence, Issue and Terminating Sanctions (Rothman Reply Decl.), ¶ 2; see also Decl. of Evan Rothman in Supp. of Mot. for Monetary Sanctions in the Amount of \$5,356.50 Against Defendants as Well as Evidence, Issue and Terminating Sanctions (Rothman Decl.), ¶¶ 8-13.) Further, there is no dispute that Defendant Abustan was aware of the court's October 21, 2025 order and has willfully failed to comply. (See Jason Abustan (Abustan Decl.), ¶ 15 ["I understand that the October 21, 2025 order remains an order of the Court."]; see also <i>id.</i>, ¶ 12 ["I am prepared to comply with a short, date-certain order addressing any formal response or specific production deficiency the Court finds remains outstanding."]; see also <i>id.</i>, ¶ 14 ["I am willing to serve a request-number index, meet and confer promptly about a specific deficiency list, produce any located responsive material within my possession, custody, or control, and submit to a narrowly limited supplemental deposition if ordered."].) Instead, Defendant Abustan contends that Plaintiff has taken his deposition and that he provided hard copies of documents at his deposition and access to an electronic database of documents after his deposition. (See <i>id.</i>, ¶¶ 8, 9-11.) However, as Plaintiff's Counsel points out, Plaintiff refused to allow Plaintiff to review and copy all of the documents produced at his deposition, and in any case, the documents provided during and after the deposition were not a complete document production. (See Rothman Reply Decl., ¶¶ 7-12.) In fact, Defendant Abustan does not appear to dispute that the documents are not fully compliant with the court's October 12, 2025 order. (See Decl. of Jason Abustan, ¶ 12 ["I do not contend that my deposition testimony or document production automatically substitutes for complete verified, request-by-request responses."].) Defendant Abustan also points to the illness and death of his counsel and states that after his counsel's death, he "did not have a complete understanding of his discovery strategy, the status of formal responses, his communications with prior opposing counsel, or the
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	organization of his file.” (See Abustan Decl., ¶¶ 2-4.) However, Defendant Abustan admitted that he had started looking for new counsel in August 2025, before the court issued its October 21, 2025 order. (See <i>id.</i>, ¶ 2.) Further, Defendant Abustan’s counsel passed away in November 2025, a month after the court’s October 21, 2025 order. (See <i>id.</i>, ¶ 3.) Thus, the illness and death of Defendant Abustan’s Counsel cannot explain his refusal to obey the court’s order for another 7 months, through to the current date. Accordingly, Plaintiff has established that she should be awarded some form of sanctions in this case. The most appropriate sanctions in this case are evidentiary sanctions. As Plaintiff’s Counsel points out, Defendant Abustan’s “July 21, 2026 [electronic database] document production occurred three days before the July 24, 2026 discovery cutoff and after the first deposition [sic] session, leaving insufficient time under the existing schedule to investigate the newly produced materials, pursue related third-party discovery or complete Mr. Abustan’s deposition before the discovery cutoff.” (Rothman Reply Decl., ¶ 13.) Thus, Plaintiff has been prejudiced in her ability to prepare for trial. However, Plaintiff submits no evidence showing that she is unable to establish any element of a cause of action due to Defendant’s failure to provide verified responses to the discovery requests or all responsive documents. This is especially true given that several dispositive facts have already been deemed admitted by Defendant Abustan pursuant to the court’s October 21, 2025 minute order. (See #273 at p. 2; see also ROA #115, #127 [Motion for Admissions to Be Deemed and for Monetary Sanctions Against Defendants Jason Abustan, Ditchpay, Inc. and Javinson and Company and Richard N. Grey].)
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		Thus, issue or terminating sanctions would not be commensurate to the dereliction by Defendant Abustan nor would the be consistent with the incremental approach that the court must apply. Finally, monetary sanctions are appropriate here as it was necessary to bring the instant motion to require Defendant Abustan to comply to the extent he has. However, the court will deduct 5.5 hours spent opposing a different motion brought by Defendant Abustan and include an additional 2.0 hours to prepare the reply in light of Defendant Abustan's filing of numerous supplemental documents in opposition to this motion. Therefore, the court will grant the motion for evidence and monetary sanctions, and deny the motion for issue and terminating sanctions. Plaintiff shall give notice of this ruling. <u>Motion for Joinder of Party and for Leave to File Cross-Complaint</u> Motion for Joinder of Necessary Party, or in the Alternative for Leave to File Cross-Complaint Against Matthew Laspia is DENIED. Plaintiff's Evidentiary Objections to the Declaration of Jason Abustan in Support of Defendant's Motion for Joinder of Necessary Party, or in the Alternative for Leave to File Cross-Complaint, or for Related Scheduling Relief are OVERRULED as to evidentiary objection numbers 1-2 and 5-14, and SUSTAINED as to evidentiary objection numbers 3-4. <u>Pending Motion</u> Defendant Jason Abustan moves for an order joining Matthew Laspia to this action as a necessary party, or in the alternative, for an order granting leave to file a cross-complaint against Matthew Laspia. <u>Withdrawal of Motion for Joinder</u> In his reply, Defendant Jason Abustan (Defendant Abustan) "expressly withdraws the compulsory-joinder branch of the present motion" and "requests one order only: discretionary leave under sections 428.10, subdivision (b),
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		428.20, and 428.50, subdivision (c), to file the Proposed Revised Cross-Complaint naming Matthew Laspia solely as a cross-defendant.” (Def. Abustan’s Reply in Supp. of Alternative Request for Leave to File Revised Cross-Complaint and in Further Supp. of Mot. at p. 2:5-9.) Thus, the court will address only the issue of leave to file a cross-complaint. <u>Standard for Leave to File Cross-Complaint</u> Civil Procedure Code section 428.10 provides that: A party against whom a cause of action has been asserted in a complaint or cross-complaint may file a cross-complaint setting forth either or both of the following: (a) Any cause of action he has against any of the parties who filed the complaint or cross-complaint against him. . . . (b) Any cause of action he has against a person alleged to be liable thereon, whether or not such person is already a party to the action, if the cause of action asserted in his cross-complaint (1) arises out of the same transaction, occurrence, or series of transactions or occurrences as the cause brought against him or (2) asserts a claim, right, or interest in the property or controversy which is the subject of the cause brought against him. (Code Civ. Proc., § 428.10.) If the party wishes to file a cross-complaint against a plaintiff or cross-complainant who filed a complaint or cross-complaint against the party, they must do so before or at the same time as the they file the answer to the complaint or cross-complaint. (See Code Civ. Proc., § 428.50, subd. (a).) If the party wishes to file a cross-complaint against a party that has not filed a complaint or cross-complaint against them, they may do so any time before the court has set a date for trial. (See Code Civ. Proc., § 428.50, subd. (b).) If the party misses these deadlines, the party “shall obtain leave of court to file any cross-complaint.” (Code Civ. Proc., § 428.50, subd. (c); see also Code
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		Civ. Proc., § 426.50 ["A party who fails to plead a cause of action subject to the requirements of this article, whether through oversight, inadvertence, mistake, neglect, or other cause, may apply to the court for leave . . . to file a cross-complaint, to assert such cause at any time during the course of the action."].) If the proposed cross-complaint is compulsory, leave must be granted so long as defendant is acting in good faith. (See Code Civ. Proc., § 426.50 ["The court, after notice to the adverse party, shall grant, upon such terms as may be just to the parties, leave . . . to file the cross-complaint, to assert such cause if the party who failed to plead the cause acted in good faith."]; <i>Silver Organizations, Ltd. v. Frank</i> (1990) 217 Cal.App.3d 94, 98-99 ["Factors such as oversight, inadvertence, neglect, mistake or other cause, are insufficient grounds to deny the motion unless accompanied by bad faith."].) A compulsory cross-complaint is a cross-complaint that is asserted against the plaintiff and contains a cause of action that is related to the complaint. (See Code Civ. Proc., § 426.30, subd. (a).) A cause of action is "related" to the complaint if it "arises out of the same transaction, occurrence, or series of transactions or occurrences as the cause of action which the plaintiff alleges in his complaint." (Code Civ. Proc., § 426.10, subd (c).) In order to be related, there does not need to be "an absolute identity of factual backgrounds for the two claims, but only a logical relationship between them." At the heart of this approach is the question of duplication of time and effort; i.e., are any factual or legal issues relevant to both claims?" (<i>Currie Medical Specialties, Inc. v. Bowen</i> (1982) 136 Cal.App.3d 774, 777, citations omitted, quoting <i>United Artists Corp. v. Masterpiece Prods.</i> (2d Cir. 1955) 221 F.2d 213, 216.) Claims that are only loosely related in that they involve some of the same parties and the same matter, directly or indirectly, are not logically related if the trial of the claims does not involve a duplication of time and effort due to the fact that there are factual and legal issues that are relevant to both claims. (See <i>ZF Micro Devices, Inc. v. TAT Capital Partners, Ltd.</i> (2016) 5 Cal.App.5th 69, 84.)
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		All cross-complaints that are not compulsory are permissive cross-complaints. Leave to file a permissive cross-complaint is within the discretion of the court, which may be granted "in the interests of justice." (Code Civ. Proc., § 428.50, subd. (c).) Here, Defendant Abustan seeks to file a cross-complaint against a third-party and not the Plaintiff. Therefore, the cross-complaint is permissive rather than compulsory/ Here, Defendant Abustan seeks to add a third-party to this action only a month before trial. If the court were to grant the motion, this would delay the trial as the cross-defendant would need time to prepare for trial. Further, the allegations in the proposed cross-complaint show that Defendant Abustan was aware of the identity and involvement of Mathew Laspia at the time the events alleged in the Complaint occurred. (See Decl. of Jason Abustan in Supp. of Mot. for Joinder or, in the Alternative, Leave to File Cross-Compl., ¶¶ 12-20.) At a minimum, Defendant Abustan was aware of the conduct of Matthew Laspia of which he now complains, no later than June 18, 2025, when he filed Defendant's Answer to Plaintiff's First Amended Complaint. (See Def.'s Answer to Pltf.'s First Amend. Compl. at pp. 5-6.) Defendant Abustan provides no explanation for his delay in seeking leave to file the cross-complaint against Matthew Laspia. Finally, Defendant Abustan fails to show that he will not be able to bring his claims against Matthew Laspia in a separate action or that he will be prejudiced in some other way if the court denies his motion. Therefore, the court will deny the motion for leave to file cross-complaint. Plaintiff shall give notice of this ruling.
2	Sunstate Equipment Co., LLC vs. Treni Cole Builders, Inc.	<u>Motion to Set Aside Default</u>

	30-2025-01451346	Cross-Defendant Jonathan Mejia's Motion to Set Aside Default Judgment is taken OFF CALENDAR pursuant to the Request for Dismissal without Prejudice of the Cross-Complaint filed July 20, 2026 (ROA #125).
3	T. H. vs. AV Investment & Consultant Group, LLC 30-2024-01404661	<u>Motion to Consolidate</u> Defendants AV Investment & Consultant Group, LLC's; Andrew Vo's; and Ngoc Dung's Motion to Consolidate is DENIED without prejudice. <u>Pending Motion</u> Defendants AV Investment & Consultant Group, LLC; Andrew Vo; and Ngoc Dung move to consolidate: • <i>Tran Hung and Cu Khanh vs. AV Investment & Consultant Consolidate Group, LLC; Andrew Vo; and Ngoc Dung</i>, Orange County Superior Court Case Number 30-2024-01404661 (Earlier Action); and • <i>Tran Hung and Cu Khanh v. Allegheny Casualty Company, Westfield National Insurance Company, and Andrew Vo</i>, Orange County Superior Court Case Number 30-2026-01539064 (Later Action). <u>Prior Proceedings</u> This court previously ruled that Defendants had not complied with California Rules of Court rule 3.350(a)(1)(C), which states that "[a] notice of motion to consolidate must ... [b]e filed in each case sought to be consolidated." (Cal. Rules of Court, rule 3.350(a)(1)(C); see ROA #76 at p. 2.) While Defendants filed this motion in the Earlier Action, the court records revealed that they failed to do so in the Later Action, <i>Tran Hung and Cu Khanh v. Allegheny Casualty Company, Westfield National Insurance Company, and Andrew Vo</i>. Further, while the motion references a declaration from attorney Walter Emil Teague III, no such declaration was filed. (See ROA #75 at p. 2.)

		The court then continued the hearing on this motion to allow Defendants to “file and serve supplemental motion papers that include the Declaration of Walter Emil Teague III, no later than July 10, 2026” and to “to file this motion in <i>Tran Hung and Cu Khanh v. Allegheny Casualty Company, Westfield National Insurance Company, and Andrew Vo</i>, Orange County Superior Court Case Number 30-2026-01539064 and serve this motion on all parties that have appeared in that action, no later than July 10, 2026.” (<i>Id.</i> at p. 1.) The court stated that “Defendants are advised that the court may deny this motion if they fail to supplement the motion papers or fail to serve the motion papers on all parties in the Later Case.” (<i>Id.</i> at p. 3.) Defendants have failed to comply with either of the court’s instructions. Defendants did not file the Declaration of Walter Emil Teague III and did not file this motion in the Later Action. Therefore, the court will deny the motion. The court clerk shall give notice of this ruling.
4	Kwak vs. Progeny Psychiatric Clinic 30-2025-01482453	<u>Motion to Dismiss</u> Defendant Progeny Psychiatric Clinic’s Motion to Dismiss Plaintiff’s Complaint is DENIED. <u>Pending Motion</u> Defendant Progeny Psychiatric Clinic moves to dismiss Plaintiff’s pursuant to Civil Procedure Code section 581(f)(2) and California Rules of Court rule 3.1320(h). <u>Dismissal of Complaint=</u> The court has discretion to dismiss a complaint if, “after a demurrer to the complaint is sustained with leave to amend, the plaintiff fails to amend it within the time allowed by the court and either party moves for dismissal.” (Code Civ. Proc., § 581, subd. (f)(2).) In addition, “[a] motion to dismiss the entire action and for entry of judgment after expiration of the time to amend following the sustaining of a

		demurrer may be made by ex parte application to the court under Code of Civil Procedure section 581(f)(2)." (Cal. Rules of Court, rule 3.1320(h).) On May 18, 2026, the court sustained Defendant's demurrer in its entirety and granted Plaintiff 15 days leave to amend. (See ROA #47 at p. 1.) Thereafter, on June 1, 2026, the court granted Defendant's motion to strike and again granted Plaintiff 15 days' leave to amend. (ROA #53 at p. 1.) Based on the court's June 1, 2026, ruling, Defendant contends that Plaintiff had until June 19, 2026 to amend her complaint and that her First Amended Complaint, which was filed on June 23, 2026, was untimely. (See ROA #61.) However, Plaintiff was not present at the hearing on June 1, 2026, (see <i>id.</i> at p. 1), and although Defendant gave notice of the ruling, it did so electronically, (see ROA #55). While service by electronic mail is acceptable and even mandatory when a party is represented by counsel, (see Code Civ. Proc., § 1010.6, subd. (b)), it may only be effectuated on an self-represented party if that party consents, (see Code Civ. Proc., § 1010.6, subd. (b); see also Cal. Rules of Court, rule 2.251(b).) Here, there is no evidence that Plaintiff has agreed to electronic service. Further, the First Amended Complaint was filed only four days after the deadline and more than two weeks before Defendant filed this motion. Thus, Defendant has suffered no undue prejudice as a result of Plaintiff's untimeliness. The court must also consider that "the law strongly favors trial and disposition on the merits." (<i>Elston v. City of Turlock</i> (1985) 38 Cal.3d 227, 233, superseded by statute, on other grounds, as discussed in <i>Tackett v. City of Huntington Beach</i> (1994) 22 Cal.App.4th 60, 64.) Therefore, the court will exercise its discretion and deny the motion. The court clerk shall give notice of this ruling.
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5	Truong vs. Bass 30-2024-01425634	<u>Motion for Leave to Amend</u> Plaintiff Hien T. Ngoc Truong's Motion for Leave to File the First Amended Complaint is GRANTED. Plaintiff Tracey Truong Nguyen's Motion for Leave to File the First Amended Complaint is DENIED. Plaintiff Hien T. Ngoc Truong is ORDERED, within 10 days of this order, to file and serve the First Amended Complaint attached as Exhibit 1 to the motion, except that Tracey Truong Nguyen shall be removed as a Plaintiff. <u>Pending Motion</u> Plaintiffs Hien T. Ngoc Truong and Tracey Truong Nguyen move for leave to file a First Amended Complaint. <u>Standard for Leave to Amend (Upon Motion of a Party)</u> The Civil Procedure Code provides that: The court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading or proceeding by adding or striking out the name of any party, or by correcting a mistake in the name of a party, or a mistake in any other respect; and may, upon like terms, enlarge the time for answer or demurrer. The court may likewise, in its discretion, after notice to the adverse party, allow, upon any terms as may be just, an amendment to any pleading or proceeding in other particulars; and may upon like terms allow an answer to be made after the time limited by this code. (Code Civ. Proc., § 473, subd. (a)(1).) Leave to amend should be granted liberally at all stages of the proceedings in order to accomplish substantial justice for both parties and to resolve cases on their merits. (See <i>Hirsa v. Superior Court</i> (1981) 118 Cal.App.3d 486, 488-489; <i>IMO Development Corp. v. Dow Corning</i> (1982) 135 Cal.App.3d 451, 461.)

	As the Court of Appeal has explained: [T]rial courts should be guided by two general principles: (1) whether facts or legal theories are being changed and (2) whether the opposing party will be prejudiced by the proposed amendment. Frequently, each principle represents a different side of the same coin: If new facts are being alleged, prejudice may easily result because of the inability of the other party to investigate the validity of the factual allegations while engaged in trial or to call rebuttal witnesses. If the same set of facts supports merely a different theory – for example, an easement as opposed to a fee – no prejudice can result. (<i>City of Stanton v. Cox</i> (1989) 207 Cal.App.3d 1557, 1563.) With respect to the first requirement, “[t]he basic rule applicable to amendments to conform to proof is that the amended pleading must be based upon the same general set of facts as those upon which the cause of action or defense as originally pleaded was grounded.” (<i>Union Bank v. Wendland</i> (1976) 54 Cal.App.3d 393, 400-401.) In other words, “[t]he power to permit amendments is interpreted very liberally as long as the plaintiff does not attempt to state facts which give rise to a wholly distinct and different legal obligation against the defendant.” (<i>Herrera v. Superior Court</i> (1984) 158 Cal.App.3d 255, 259.) With respect to the second requirement, prejudice that may support denying amendment includes “delay in trial, loss of critical evidence, or added costs of preparation.” (<i>Solit v. Tokai Bank, Ltd. New York Branch</i> (1999) 68 Cal.App.4th 1435, 1448.) The trial court has wide discretion in determining whether to allow amendment, but “the appropriate exercise of that discretion requires the trial court to consider a number of factors: <i>‘including the conduct of the moving party and the belated presentation of the amendment.’</i>” (<i>Leader v. Health Ind. of America, Inc.</i> (2001) 89 Cal.App.4th 603, 613, quoting <i>Bedolla v. Logan & Frazer</i> (1975) 52 Cal.App.3d 118, 135-136, italics original.)
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		However, it is "an abuse of discretion to deny leave to amend where the opposing party was not misled or prejudiced by the amendment." (<i>Kittredge Sports Co. v. Superior Court</i> (1989) 213 Cal.App.3d 1045, 1048; see also <i>Morgan v. Superior Court</i> (1959) 172 Cal.App.2d 527, 530 ["If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend"], citations and quotations omitted.) It is also an abuse of discretion to refuse amendment where that "results in a party being deprived of the right to assert a meritorious cause of action or a meritorious defense." (<i>Morgan v. Superior Court, supra</i>, 172 Cal.App.2d at p. 530.) This is true even if leave to amend is sought as late as the time of trial or even during trial. (See <i>Higgins v. Del Faro</i> (1981) 123 Cal.App.3d 558, 564-565; <i>Rainer v. Community Memorial Hosp.</i> (1971) 18 Cal.App.3d 240, 251-256.) Thus, "[i]n the furtherance of justice, trial courts may allow amendments to pleadings and if necessary, postpone trial." (<i>Honig v. Financial Corp. of America</i> (1992) 6 Cal.App.4th 960, 965.) Pursuant California Rules of Court rule 3.1324, a motion to amend a pleading shall: (1) include a copy of the proposed amendment or amended pleading, which must be serially numbered to differentiate it from previous pleadings or amendments; (2) state what allegations in the previous pleading are proposed to be deleted, if any, and where, by page, paragraph and line number, the deleted allegations are located; and (3) state what allegations are proposed to be added to the previous pleading, if any, and where, by page, paragraph, and line number, the additional allegations are located. (Cal. Rules of Court, rule 3.1324(a).) In addition, California Rules of Court rule 3.132 requires that a separate declaration accompany the motion and must specify (1) the effect of the amendment; (2) why the amendment is necessary and proper; (3) when the facts giving rise to the amended allegations were discovered; and (4) the reasons why the request for amendment was not made earlier. (Cal. Rules of Court, rule 3.1324(b).)
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		Here, Plaintiffs seek leave to amend to streamline causes of action and to conform factual allegations to evidence discovered during discovery. Plaintiffs' proposed amendment does not appear to add claims or expand the general set of facts upon which the original Complaint was based. In addition, Plaintiffs have substantially complied with the requirements for leave to amend under Rule 3.1324. Further, Defendants have failed to file an opposition or otherwise respond to the motion. Thus, Defendants have waived any arguments regarding the motion. (See <i>Nazir v. United Airlines, Inc.</i> (2009) 178 Cal.App.4th 243, 288 [failure to address or oppose issue in motion constitutes waiver of that issue]; see <i>DuPont Merck Pharmaceutical Co. v. Superior Court</i> (2000) 78 Cal.App.4th 562, 566 [holding that failure to challenge contention in brief results in the concession on that issue].) However, Plaintiff Tracey Truong Nguyen, a minor, by and through her guardian ad litem, Hien T. Ngoc Truong, has been dismissed from this action. (See ROA #32.) To the extent that Plaintiffs seek to amend the complaint in order to reinstate Tracey Truong Nguyen as a plaintiff, Plaintiffs have not stated this in their motion nor have they explained why the amendment is necessary and proper, when the facts giving rise to the amended allegations were discovered, and the reasons why the request for amendment was not made earlier. Therefore, the court will deny the motion to extent it seeks to add in Tracey Truong Nguen as a plaintiff and grant the motion in all other respects. Plaintiff Hien T. Ngoc Truong shall give notice of this ruling.
6	Skillset Group, LLC vs. Samuel Hale, LLC 30-2026-01542587	<u>Motion for Temporary Restraining Order and Order to Show Cause</u> Plaintiffs Skillset Group, LLC and Skillset Group, Inc.'s motion for Temporary Restraining Order and Order to Show Cause why a Preliminary Injunction

		should not issue is GRANTED in part and DENIED in part. Pending a decision on the issuance of a preliminary injunction, Defendants Samuel Hale, LLC; Samuel Hale 2, LLC; Samuel Hale 3, LLC; Samuel Hale 4, LLC; and their agents are enjoined and prohibited from the following: 1. Further acquiring, disclosing, or using any of Plaintiffs' trade secrets; and 2. Interfering with Plaintiffs' current contractual and prospective economic relationships by unwanted contacts with Plaintiffs' employees and workforce. Defendants may contact any workers as necessary for the purpose of continuing insurance or benefits-administration obligations owed to workers already enrolled in Defendants' programs, or to respond to those workers' own inquiries about their own coverage. However, Defendants and their agents shall not disparage Plaintiffs in any such communications. The court sets an Order to Show Cause re: Issuance of Preliminary Injunction for September 9, 2026, at 9:00 a.m. in Department N15. The parties shall show cause why a preliminary injunction should not issue restraining and enjoining Defendants Samuel Hale, LLC; Samuel Hale 2, LLC; Samuel Hale 3, LLC; Samuel Hale 4, LLC; and their agents from the following: 1. Further acquiring, disclosing, or using any of Plaintiffs' trade secrets; and 2. Interfering with Plaintiffs' current contractual and prospective economic relationships by unwanted contacts with Plaintiffs' employees and workforce. This Temporary Restraining Order and Order to Show Cause re: Preliminary Injunction shall not be effective until served on Defendants Samuel Hale, LLC; Samuel Hale 2, LLC; Samuel Hale 3, LLC; and Samuel Hale 4, LLC. <u>Pending Motion</u>
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		Plaintiffs Skillset Group, LLC and Skillset Group, Inc. move for a temporary restraining order: 1. to enjoin Defendants Samuel Hale, LLC; Samuel Hale 2, LLC; Samuel Hale 3, LLC; and Samuel Hale 4, LLC (Samuel Hale Defendants) from further acquiring, disclosing, or using any of Plaintiffs' trade secrets; 2. to enjoin Samuel Hale Defendants from contacting any of Plaintiffs' current and future employees and workforce, or otherwise interfering with Plaintiffs' current contractual and prospective economic relationships by interfering with Plaintiffs' employees and workforce; 3. to enjoin Samuel Hale Defendants from contacting any of Plaintiffs' current and future clients and from conducting any further business with any of Plaintiffs' current or future clients, or otherwise interfering with Plaintiffs' current contractual and prospective economic relationships. Plaintiffs also move for an Order to Show Cause why a preliminary injunction should not issue restraining and enjoining Samuel Hale Defendants and their agents. <u>Standard for Temporary Restraining Order and Preliminary Injunction</u> Section 526 of the Civil Procedure Code authorizes a court to grant injunctive relief before judgment in the following cases: (1) When it appears by the complaint that the plaintiff is entitled to the relief demanded, and the relief, or any part thereof, consists in restraining the commission or continuance of the act complained of, either for a limited period or perpetually. (2) When it appears by the complaint or affidavits that the commission or continuance of some act during the litigation would produce waste, or great or irreparable injury, to a party to the action.
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		(3) When it appears, during the litigation, that a party to the action is doing, or threatens, or is about to do, or is procuring or suffering to be done, some act in violation of the rights of another party to the action respecting the subject of the action, and tending to render the judgment ineffectual. (4) When pecuniary compensation would not afford adequate relief. (5) Where it would be extremely difficult to ascertain the amount of compensation which would afford adequate relief. (6) Where the restraint is necessary to prevent a multiplicity of judicial proceedings. (Code Civ. Proc., § 526, subd. (a).) The Court also may grant injunctive relief "at any time before judgment upon a verified complaint, or upon affidavits if the complaint in the one case, or the affidavits in the other, show satisfactorily that sufficient grounds exists therefor." (Code Civ. Proc., § 527, subd. (a).) Temporary restraining orders and preliminary injunctions are court orders that enjoin the parties in a similar manner. (See <i>San Diego Water Co. v. Pacific Coast S.S. Co.</i> (1894) 101 Cal. 216, 218 ["The restraining order is a restraint, of the same nature as an injunction"].) Thus, in determining whether to issue either form of relief, the court evaluates the same two interrelated factors: "1) the likelihood that the plaintiff will prevail on the merits, and (2) the relative balance of harms that is likely to result from the granting or denial of interim injunctive relief." (<i>White v. Davis</i> (2003) 30 Cal.4th 528, 554; see also <i>Church of Christ in Hollywood v. Superior Court</i> (2002) 99 Cal.App.4th 1244, 1251.) "The trial court's determination must be guided by a 'mix' of the potential-merit and interim-harm factors; the greater the plaintiff's showing on one, the less must be shown on the other to support an injunction." (<i>Butt v. State of California</i> (1992) 4 Cal.4th 668, 678.)
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		At the same time, “[t]he scope of available preliminary relief is necessarily limited by the scope of the relief likely to be obtained at trial on the merits.” (<i>Common Cause v. Board of Supervisors</i> (1989) 49 Cal.3d 432, 441-442.) Therefore, “[a] trial court may not grant a preliminary injunction, regardless of the balance of interim harm, unless there is some possibility that the plaintiff would ultimately prevail on the merits of the claim.” (<i>Butt v. State of California, supra</i>, 4 Cal.4th at p. 678.) The purpose of a preliminary injunction is to preserve the status quo until a final determination following a trial. (<i>Scaringe v. J.C.C. Enterprises, Inc.</i> (1988) 205 Cal.App.3d 1536, 1542, overruled in part on other grounds, <i>Citizens for Covenant Compliance v. Anderson</i> (1995) 12 Cal.4th 345, 353.) The primary difference between a temporary restraining order and a preliminary injunction is that the former may be sought on an <i>ex parte</i> basis, and in fact, may be obtained in certain circumstances without notice to the non-moving party. (See Code Civ. Proc., § 527, subd. (c).) However, as the Court of Appeal has explained: The <i>ex parte</i> hearing concerning a TRO is no more than a review of the conflicting contentions to determine whether there is a sufficiency of evidence to support the issuance of an interlocutory order to keep the subject of litigation in status quo pending a full hearing to determine whether the applicant is entitled to a preliminary injunction. The issuance of a TRO is not a determination of the merits of the controversy. All that is determined is whether the TRO is necessary to maintain the status quo pending the noticed hearing on the application for preliminary injunction. (<i>Landmark Holding Group, Inc. v. Superior Court</i> (1987) 193 Cal.App.3d 525, 528). The burden is on the party seeking injunctive relief to show all elements necessary to support its issuance. (<i>O'Connell v. Superior Court</i> (2006) 141 Cal.App.4th 1452, 1481.) Thus, if the moving party fails to establish either requirement, a preliminary injunction should be denied. (See <i>Jessen v. Keystone Savings and Loan Assoc.</i> (1983) 142
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		Cal.App.3d 454, 459.) <u>Trade Secret Misappropriation</u> First, Plaintiffs seek a TRO based on the Samuel Hale Defendants' alleged misappropriation of trade secrets. The Civil Code states that: "Trade secret" means information, including a formula, pattern, compilation, program, device, method, technique, or process, that: (1) Derives independent economic value, actual or potential, from not being generally known to the public or to other persons who can obtain economic value from its disclosure or use; and (2) Is the subject of efforts that are reasonable under the circumstances to maintain its secrecy. (Civ. Code, § 3426.1, subd. (d).) " '[T]he test for a trade secret is whether the matter sought to be protected is information (1) that is valuable because it is unknown to others and (2) that the owner has attempted to keep secret.' [Citation.]" (<i>Amgen Inc. v. Health Care Services</i> (2020) 47 Cal.App.5th 716, 734.) "[T]he 'intrinsic value'" of a trade secret 'is based upon, or at least preserved by, being safeguarded from disclosure.' [Citations.]" (<i>Ibid.</i>) However, "limited disclosure to noncompetitors does not result in loss of trade secret privilege where ... the holder of the privilege made reasonable efforts to maintain secrecy." (<i>Masonite Corp. v. County of Mendocino Air Quality Management Dist.</i> (1996) 42 Cal.App.4th 436, 451, fn. 11.) "[T]he owner of a trade secret has a privilege to refuse to disclose the secret, and to prevent another from disclosing it, if the allowance of the privilege will not tend to conceal fraud or otherwise work injustice." (Evid. Code, § 1060.) The information at issue here is the database of temporary and direct-for-hire employees across multiple industries and client-specific information, including operational needs, contacts, and pricing.
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		In support of their contention that this constitutes trade secret information, Plaintiffs present the declaration of Abigail Saenz, the Director of Human Resources & Legal Claims with Skillset Group, who declares as follows: "Skillset Group has invested a great deal of time, money, and effort developing its database of temporary and direct-for-hire employees across multiple industries. This information is used to recruit qualified candidates and service Skillset Group clientele. Further, Skillset Group has invested a great deal of time, money, and effort developing an extensive client list with client specific information, contracts, pricing, and services. The databases of Skillset Group temporary and direct-hire workers, the information regarding these Skillset Group employees, and the clients they are assigned to, have economic value because they are the result of extensive expenditures of time, effort, and money, and the materials contain information not generally known within the trade. Further, the materials represent substantial research and compilation of existing and prospective customer data and existing and prospective temporary and direct-hire workers." (Decl. of Saenz, ¶ 4). "Skillset Group has invested significant time, money, and resources to develop and maintain client-specific information, including operational needs, contacts, and pricing. Further, Skillset Group has invested significant time, money, and resources to identify qualified temporary and direct-hire candidates for roles across multiple industries, and the financial and compensation plans based on Skillset Group employees' qualifications and availability are developed and created by Skillset Group at significant costs and time. Moreover, Skillset Group has invested a great deal of employee time in developing and making these databases and information useful." (Decl. of Saenz, ¶ 5). "Skillset Group expends significant costs and resources to employ over 50 full time employees to develop and maintain Skillset Group's databases and proprietary information, including to recruit temporary and direct-hire candidates and employees, secure new business, and service existing customers. Developing and maintaining an ongoing database of Skillset Group's roster of over 1,700 temporary and direct-hire employees and providing workforce solutions to clients is the
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	lifeblood of Skillset Group’s business model.” (Decl. of Saenz, ¶ 6). “On or around January 18, 2023, Skillset Group and Defendant, Samuel Hale, LLC entered into a business relationship wherein Samuel Hale provided Workers Compensation Insurance coverage. Further, Samuel Hale required all Skillset Group employees’ information and required Skillset Group employees’ send a signed form from Defendant, The PACT Life (“The PACT”). Finally, the information Skillset Group provided to Samuel Hale and The PACT included Skillset Group’s client information and employee assignments.” (Decl. of Saenz, ¶ 7). Pursuant to the above, Plaintiffs have provided evidence demonstrating that Plaintiffs’ temporary and direct-for-hire employee database, which also identifies qualified temporary and direct-hire candidates for roles across multiple industries, and the financial and compensation plans based on Skillset Group employees’ qualifications and availability, is trade secret information that is not generally known within the trade and derives independent economic value. Plaintiffs also contend that this information is confidential and proprietary, and was only provided to Defendants because of the Client Services Agreement. In <i>ReadyLink Healthcare v. Cotton</i> (2005) 126 Cal.App.4th 1006, the court found that there was “sufficient evidence establishing that ReadyLink is likely to prevail on its trade secret misappropriation claims” where “there existed a threat that Cotton would use misappropriated trade secret information to solicit ReadyLink’s employees and customers who had contracts with ReadyLink.” (<i>Id.</i> at 1019). Here, Plaintiffs have provided evidence showing that Defendants, who were formerly the vendor of Plaintiffs, contacted Plaintiffs’ employees after Plaintiffs terminated their Client Services Agreement with Defendants and attempted to persuade these employees to find a new employer who worked with Samuel Hale and PACT. Plaintiffs provided evidence that an individual calling from a Samuel Hale phone number sent a voicemail to Plaintiffs’ employee Diego Vargas which stated, in part: “Skillset is committing fraud...and it is very important that you get in touch with us ASAP so you can keep your benefits...the only way to keep your benefits it is to work with a staff company that is part of the PACT...” (Decl. of Saenz, ¶ 9; Decl. of
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	Romero, ¶ 7; Decl. of Decl. of Valiente, ¶ 13). Plaintiffs provided evidence that their employee by the name of Maria De Los Angeles Rodriguez received a voicemail from a woman named Gloria with The PACT who said that she would be losing her benefits, that Skillset “has committed fraud”, and said “if you need help finding another employer affiliated with PAC or have any questions about how to maintain your benefits, call us at ... We look forward to your call.” (Decl. of Saenz, ¶ 17; Decl. of Mora, ¶ 9; Decl. of Valiente, ¶ 4). Plaintiffs’ Account Manager, Marc Kroll received a text message from Plaintiffs’ temporary employee Loreto Grimaldo who informed Kroll that Samuel Hale contacted Grimaldo and stated that Plaintiffs are being charged with fraud. (Decl. of Kroll, ¶¶ 4-6, Exh. 1). The PACT also sent a letter to employees stating “Skillset has ended its relationship with Samuel Hale and as a result our PACT membership is impacted....You have the right to seek employment with another PACT-affiliated employer to maintain your uninterrupted benefits....If you need help identifying a different PACT-affiliated employer or have questions about maintaining your benefits, please contact the PACT Membership Team...” (Decl. of Saenz, ¶ 23, Exh. B). Defendants contend that they were required to communicate with the workers about their insurance benefits, and that they were not soliciting employees to work for any competitor. However, the evidence of these communications establishes more than just status updates of workers’ benefits. According to the declarations, Defendants informed workers that Plaintiffs were committing fraud, and that the employees should switch to employers who had agreements with Samuel Hale/PACT. Separately, however, Plaintiffs contend that Defendants misappropriated trade secrets regarding Plaintiffs’ clientele. Plaintiffs have not set forth any specific instance of client list misappropriation. Nor have Plaintiffs provided evidence showing any communication between Defendants and anyone other than the employees/workers. Accordingly, the court will not issue a temporary restraining order with regard to Plaintiffs’ clients.
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		<u>Unfair Competition and Intentional Interference with Prospective Economic Relations</u> The elements of intentional interference with prospective economic advantage are: (1) an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) intentional acts on the part of the defendant designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm to the plaintiff proximately caused by the acts of the defendant. (<i>Youst v. Longo</i> (1987) 43 Cal.3d 64, 71, fn.6.) Additionally, courts have held that "a former employee's use of confidential information obtained from his former employer to compete with him and to solicit the business of his former employer's customers, is regarded as unfair competition." (<i>Courtesy Temporary Service, Inc. v. Camacho</i> (1990) 222 Cal.App.3d 1278, 1292 [citing <i>Greenly v. Cooper</i> (1978) 77 Cal.App.3d 382, 394]). Pursuant to the declarations discussed above, Plaintiffs provided evidence showing that they have a relationship with their employees (the third party), the Samuel Hale Defendants knew of this relationship, and that the Samuel Hale Defendants intentionally communicated with the employees to accuse Plaintiffs of fraud and told the employees they should find a new employer to keep their benefits. With regards to the element of "actual disruption of the relationship", Plaintiffs provide the declaration of Ms. Saenz who declares: "Based on my interactions and communications with Skillset Group employees and managers at client sites, Skillset Group temporary employees were feeling anxious, concerned, and worried and needed upper management to speak with them to provide assurances that Skillset Group was not committing fraud and that employees were not owed money. The unsolicited communications with Skillset Group employees created unnecessary difficulties for Skillset Group to provide workforce solutions to its contracted clients and continues to do so." (Decl. of Saenz, ¶ 24). Defendants contend that Plaintiffs have not provided actual evidence of any harm caused by their actions, as there is no evidence of an employee or client leaving because of Defendants' communications. However, Plaintiffs have provided
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		evidence that their workplace has been disrupted because the workers' concerns and the statements that Plaintiffs have committed fraud. Furthermore, "the <u>threat</u> of committing an act in violation of the rights of another party respecting the subject of the action" may be sufficient. (<i>ReadyLink Healthcare, supra</i>, 126 Cal.App.4th at 1023 [emphasis added]). Again, however, Plaintiffs did not provide any specific instance or evidence showing that Defendants interrupted the relationship between Plaintiffs and Plaintiffs' clients. The only evidence of communication provided by Plaintiffs was that of Defendants and Plaintiffs' employees/workers. To the extent Plaintiffs are contending that Defendants interfered with Plaintiffs' relationships with the client companies whom Plaintiffs service, Plaintiffs failed to show this. Accordingly, the court will not issue a TRO with regard to Plaintiffs' clients. <u>Irreparable Harm</u> The Civil Procedure Code provides that No temporary restraining order shall be granted without notice to the opposing party, unless both of the following requirements are satisfied: (1) It appears from facts shown by affidavit or by the verified complaint that great or irreparable injury will result to the applicant before the matter can be heard on notice. (Code Civ. Proc. § 527, subd. (c)(1).) Here, Plaintiffs have set forth evidence that Defendants contacted Plaintiffs' employees to accuse Plaintiffs of committing fraud, and told Plaintiffs' employees to find alternate employers who work with Defendants. Accordingly, Plaintiffs suffer the threat of harm caused by losing their direct-for-hire workers and their temporary employees. However, the court also considers Defendants' contention that the proposed order, as worded, would impact Defendants' ability to perform their job and obligations owed to workers enrolled in Defendants' programs, who they must contact regarding their benefits.
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		Accordingly, Defendants may still communicate with workers for the limited purpose as specified in this court's ruling above. <u>Undertaking</u> The court declines to impose an undertaking. (See <i>Wallace v. Miller</i> (1983) 140 Cal.App.3d 636, 645 ["The posting of security is not a prerequisite to the issuance of a valid temporary restraining order."]). The Samuel Hale Defendants have not shown any amount of damages that they would sustain by imposition of a Temporary Restraining Order. <u>Order to Show Cause Re: Issuance of Preliminary Injunction</u> If the court grants a temporary restraining order, the court must expeditiously set the matter for a hearing on a preliminary injunction. (See, e.g., Code Civ. Proc., § 527, subd. (d).) This gives the parties time to give proper notice and more fully brief the issues, and gives the court more time to consider the issue. (See Code Civ. Proc., § 527, subd. (a).) Therefore, the court will set an Order to Show Cause re: Issuance of Preliminary Injunction to allow the parties time to address the issue of a preliminary injunction. Plaintiffs shall give notice of this ruling.
7	Cliq, Inc. vs. Capital Managers, LLC 30-2021-01220754	<u>Motions for Attorney's Fees and Motions to Strike and/or Tax Costs</u> The court will hear from the parties regarding the selection of a referee to prepare a report and make recommendations on the parties' respective motions for attorney's fees and motions to strike and/or tax costs.